

Cambridge International AS & A Level

ECONOMICS

Paper 3 A Level Multiple Choice (Moderate)

Practice Paper Moderate

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet

Soft clean eraser

Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

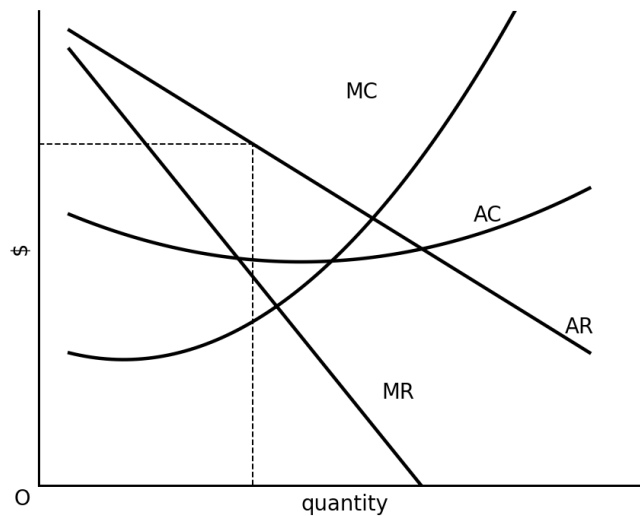
INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

Difficulty Level: Moderate

- 1 According to the law of equi-marginal utility, a consumer maximises total utility when:
 - A the total utility from each good is equal
 - B the marginal utility from each good is equal
 - C the marginal utility per dollar spent is equal across all goods
 - D the total expenditure on each good is equal
- 2 A consumer's budget line shifts inwards parallel to the original line. Which event has occurred?
 - A The price of one good has fallen.
 - B The consumer's money income has fallen.
 - C The consumer's preferences have changed.
 - D The price of both goods has fallen proportionally.
- 3 Which is an example of an internal economy of scale enjoyed by a firm?
 - A improved national transport networks
 - B bulk-buying discounts received by the firm
 - C reduced industry-wide regulation
 - D a fall in average wages across the industry
- 4 A factory provides on-the-job training, and trained workers later move to other firms. What does this represent?
 - A a negative externality of production
 - B a positive externality of production
 - C a negative externality of consumption
 - D a positive externality of consumption
- 5 A five-firm concentration ratio in an industry is 85%. What does this indicate?
 - A perfect competition exists in this industry
 - B a high degree of market concentration
 - C there are exactly five firms in the industry
 - D the industry is contestable

- 6 The diagram shows a profit-maximising monopolist in equilibrium. The firm now experiences a rise in its variable costs. What is the most likely effect on its price and output?



- A price rises and output falls
 B price falls and output rises
 C price and output are unchanged
 D price falls and output falls
- 7 A cinema charges adults a higher ticket price than children for the same film at the same screening. What pricing policy is this?
- A predatory pricing
 B limit pricing
 C price discrimination
 D price leadership
- 8 Allocative efficiency in a market is achieved when:
- A price equals marginal cost ($P = MC$)
 B price equals average cost ($P = AC$)
 C marginal revenue equals marginal cost ($MR = MC$)
 D average cost equals marginal cost ($AC = MC$)
- 9 In game theory, a dominant strategy is one that:
- A always maximises joint profits
 B yields the best outcome regardless of the rival's choice
 C always involves collusion
 D is only available to the largest firm
- 10 A car manufacturer takes over a tyre-making company. This is an example of:
- A horizontal integration
 B vertical backward integration
 C vertical forward integration
 D conglomerate integration

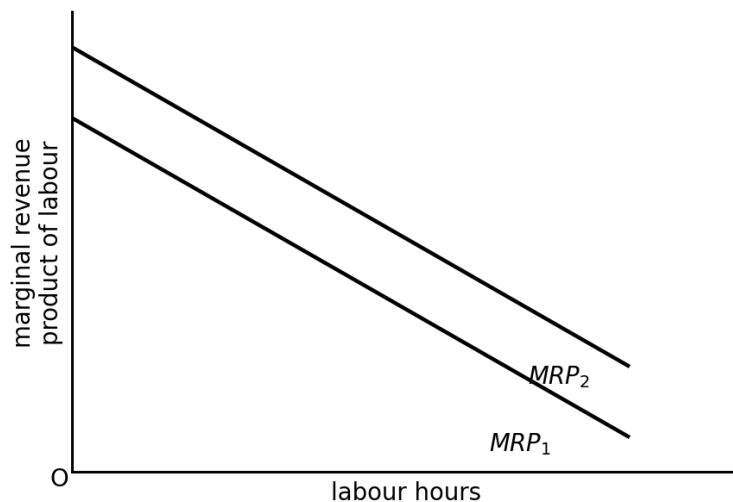
11 Which is the strongest justification for government intervention in markets with significant positive externalities?

- A to raise tax revenue
- B to reduce overproduction by firms
- C to correct underconsumption of the good
- D to remove competition between firms

12 A national minimum wage is introduced above the equilibrium wage in a perfectly competitive labour market. What is the most likely short-run effect?

- A an increase in total employment
- B a fall in total employment
- C no change in employment
- D a fall in the equilibrium wage

13 The diagram shows an outward shift of a firm's marginal revenue product (MRP) curve from MRP_1 to MRP_2 . Which change is most likely to have caused this shift?



- A a fall in the productivity of labour
- B a fall in the price of the final product
- C a rise in the productivity of labour
- D a rise in the wage rate paid to labour

14 Which is a feature of a perfectly competitive labour market?

- A a single buyer of labour exists
- B workers and firms are wage takers
- C workers face high search costs and asymmetric information
- D workers cannot move between firms

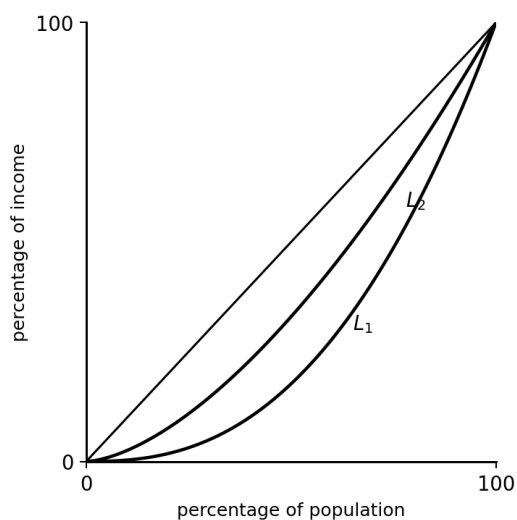
15 A progressive income tax system is one in which:

- A the same tax rate applies to all income levels
- B the average tax rate rises as income rises
- C the average tax rate falls as income rises
- D only high-income earners pay any tax

- 16** A person borrows money today and agrees to repay it in five years' time. Which function of money is illustrated?
- A** medium of exchange
 - B** unit of account
 - C** standard of deferred payment
 - D** store of value
- 17** Frictional unemployment occurs mainly because:
- A** aggregate demand has fallen across the economy
 - B** workers are temporarily between jobs
 - C** workers' skills do not match available vacancies
 - D** production is seasonal
- 18** Real GDP per capita increases over a year. What is the most reliable conclusion?
- A** Population has fallen.
 - B** Average material living standards have probably risen.
 - C** Inflation has fallen.
 - D** Income inequality has narrowed.
- 19** An economy is operating beyond its full-employment level of national income. This is described as:
- A** an inflationary gap
 - B** a deflationary gap
 - C** long-run equilibrium
 - D** a balance of payments gap
- 20** Which is an example of an automatic stabiliser?
- A** the government announcing new infrastructure projects
 - B** the central bank cutting the policy interest rate
 - C** income tax receipts falling during a recession
 - D** Parliament passing a new tax law
- 21** A government uses expansionary fiscal policy to boost growth and reduce unemployment. Which macro-economic objective is most likely to be threatened?
- A** higher employment
 - B** lower unemployment
 - C** lower inflation
 - D** higher productivity
- 22** A regressive tax is one that:
- A** takes a larger proportion of income from lower earners than from higher earners
 - B** takes a larger proportion of income from higher earners than from lower earners
 - C** takes the same proportion of income from all earners
 - D** has a marginal rate that rises with income
- 23** The original (short-run) Phillips curve suggests an inverse relationship between:
- A** inflation and economic growth
 - B** inflation and unemployment
 - C** unemployment and the trade balance
 - D** the current account and the exchange rate

- 24** A Gini coefficient of 0 indicates:
- A** perfect income inequality
 - B** perfect income equality
 - C** average income inequality
 - D** the highest possible level of poverty
- 25** A government raises tariffs on imported steel to support its domestic steel industry. This is an example of:
- A** expenditure-reducing policy
 - B** expenditure-switching policy
 - C** expansionary monetary policy
 - D** contractionary monetary policy
- 26** A British tourist spends 500 pounds on a holiday in Spain. How is this recorded in the UK balance of payments?
- A** as a credit on the current account
 - B** as a debit on the current account
 - C** as a credit on the financial account
 - D** as a debit on the financial account
- 27** Under a floating exchange rate system, a rise in the external value of a currency is correctly called:
- A** depreciation
 - B** devaluation
 - C** appreciation
 - D** revaluation
- 28** Foreign direct investment into a country is most likely to improve its current account when the foreign-owned firm:
- A** imports most of its raw materials
 - B** sells most of its output domestically
 - C** exports most of its output and uses local inputs
 - D** repatriates all of its profits

29 The diagram shows two Lorenz curves, L_1 and L_2 . A country's Lorenz curve moves from L_1 to L_2 , closer to the line of perfect equality. This indicates that:



- A** average income has fallen
 - B** income inequality has decreased
 - C** population has grown
 - D** tax revenue has fallen
- 30** Which is most likely to be a benefit of globalisation?
- A** reduced international trade
 - B** less consumer choice
 - C** greater exploitation of economies of scale
 - D** a permanent rise in unemployment in all countries